MACROECONOMICS

MACRO-32

Time: 5 minutes

Outcome: Evaluate active policy, lags, coordination, automatic stabilizers, and shock response.

Difficulty: ●●○ Intermediate

Stabilization Policy

THE CORE IDEA

Stabilization policy uses fiscal or monetary tools and automatic stabilizers to reduce output gaps and inflation pressure. Expansionary policy supports aggregate demand when output is below potential, while contractionary policy restrains demand when the economy is overheating. Recognition, decision, implementation, and impact lags can weaken or even reverse the intended effect if conditions change before policy takes hold.

HOW TO RECOGNIZE IT

- Identify whether output is below or above potential and whether inflation pressure is weak or strong.
- Expansionary policy supports demand in a recession; contractionary policy restrains excessive demand and inflation.
- Automatic stabilizers respond without new legislation, while discretionary policy requires a deliberate decision.
- Consider recognition, decision, implementation, and impact lags before judging likely stabilization effects.

WATCH OUT

Do not treat a negative supply shock as if policymakers can simultaneously eliminate its inflation and output effects by shifting AD. Demand stabilization during a negative supply shock involves a tradeoff: supporting output can worsen price pressure, while reducing inflation can deepen the output loss.

WORKED EXAMPLE: WHEN POLICY ARRIVES LATE

A $30 billion spending increase is enacted during a recession but takes effect after recovery. With MPC = 0.8, the simple multiplier is 1 / (1 - 0.8) = 5, so the planned AD increase is $30 billion x 5 = $150 billion. Arriving after the recession, the stimulus can worsen an overheating gap rather than stabilize output.

CHECK YOURSELF

Which policy acts automatically to cushion a recession without a new vote by Congress?

READY? Return to the game and master this concept.